



Social Security (Contributions) Act 1982

1982 CHAPTER 2

An Act to make provision in connection with certain contributions payable under the Social Security Act 1975.
[2nd February 1982]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Increase in
contributions.

1.—(1) In regulation 7 of the Contributions Regulations (lower and upper earnings limits for Class 1 contributions)—

- (a) for the words “6th April 1981” there are substituted the words “6th April 1982”; and
- (b) for “£27” and “£200” there are substituted respectively “£29.50” and “£220”.

(2) In section 4(6)(a) of the principal Act (amount of primary Class 1 contribution) for the words “7.75 per cent.” there are substituted the words “8.75 per cent.”.

(3) In regulation 104 of the Contributions Regulations (reduced rate Class 1 contribution of married women and widows) for the words “2.75 per cent.” there are substituted the words “3.2 per cent.”.

(4) In section 7 of the principal Act (amount of Class 2 contribution)—

- (a) in subsection (1) (weekly rate) for “£3.40” there is substituted “£3.75”; and
- (b) in subsection (5) (small earnings exception) for “£1,475” there is substituted “£1,600”.

(5) In regulation 98(c) of the Contributions Regulations (amount of Class 2 contribution of share fishermen) for "£5.15" there is substituted "£5.85".

(6) In section 8(1) of the principal Act (amount of Class 3 contribution) for "£3.30" there is substituted "£3.65".

(7) In sections 9(2) and 10(1) of the principal Act (Class 4 contributions recoverable under Tax Acts and regulations)—

(a) for the words "5.75 per cent." (amount of contribution) there are substituted, in each case, the words "6 per cent.";

(b) for "£3,150" (lower limit) wherever that amount appears there is substituted "£3,450";

(c) for "£10,000" (upper limit) there is substituted, in each case, "£11,000".

2.—(1) In section 1(5) of the principal Act (Treasury supplement to contributions to be a fixed percentage of so much of all contributions paid in the year concerned as remains after deducting the appropriate national health service allocation and the appropriate employment protection allocation) for the words "14.5 per cent." there are substituted the words "13 per cent."

Alteration of Treasury supplement to contributions.

(2) In section 1(5A) of the principal Act (power by order to vary percentage rate) for the words "1981-82" there are substituted the words "1982-83".

3.—(1) Section 134(4) of the principal Act is amended as follows.

Allocation of contributions.

(2) In the definition of "the appropriate national health service allocation"—

(a) in paragraph (a) (primary Class 1 contributions) for the words "0.65 per cent." there are substituted the words "0.75 per cent.", and

(b) in paragraph (e) (Class 4 contributions) for the words "0.85 per cent." there are substituted the words "0.95 per cent."

(3) In the definition of "the appropriate employment protection allocation", for the words from "in the case of" to "this subsection" there are substituted the words "means—

(i) in the case of primary Class 1 contributions, 0.35 per cent. of the amount determined to be that of the earnings in respect of which those contributions were paid; and

(ii) in the case of secondary Class 1 contributions, 0·2 per cent. of the amount determined to be that of the earnings in respect of which those contributions were paid ;

and in this subsection ”.

Supplemental.
S.I. 1979/591.

4.—(1) In this Act—

“ Contributions Regulations ” means the Social Security (Contributions) Regulations 1979 ; and

1975 c. 14.

“ principal Act ” means the Social Security Act 1975.

(2) This Act does not apply in respect of any tax year before the tax year beginning with 6th April 1982.

(3) The consequential amendments set out in Schedule 1 to this Act shall have effect and the enactments specified in Schedule 2 are hereby repealed to the extent specified in the third column.

(4) Nothing in section 120 of the principal Act (annual review of contributions) shall be taken to require the Secretary of State to carry out a review of earnings with a view to determining whether an order should be made under that section to have effect in relation to the tax year beginning with 6th April 1982.

1974 c. 28.

(5) An Order in Council under paragraph 1(1)(b) of Schedule 1 to the Northern Ireland Act 1974 (legislation for Northern Ireland in the interim period) which states that it is made only for purposes corresponding to those of this Act—

(a) shall not be subject to paragraph 1(4) and (5) of that Schedule (affirmative resolution of both Houses of Parliament) ; but

(b) shall be subject to annulment in pursuance of a resolution of either House.

(6) The amendment by this Act of any provision of the Contributions Regulations shall not be taken to prejudice any power to make further regulations varying or revoking that provision.

Short title
and extent.

5.—(1) This Act may be cited as the Social Security (Contributions) Act 1982.

(2) Subsections (5) and (6) of section 4 and paragraph 3(3) of Schedule 1 extend to Northern Ireland, but otherwise this Act does not extend to Northern Ireland.

SCHEDULES

SCHEDULE 1

Section 4(3).

CONSEQUENTIAL AMENDMENTS

Social Security Act 1975 (c. 14)

1.—(1) Section 122 of the principal Act (additional power to alter contributions) is amended as follows.

(2) In subsection (3)(b), for the words “any percentage” there are substituted the words “one or other, or both, of the percentages”.

(3) In subsection (4), for the words from “the percentage rate” to the end there are substituted the words “one or other, or both, of the percentage rates (primary and secondary Class 1 contributions) specified in paragraphs (a) and (b)”.

(4) For subsection (5) there is substituted the following subsection—

“(5) An order under subsection (4) above which increases or reduces the percentage rate for a Class 1 contribution shall also amend the definition of “the appropriate employment protection allocation” in section 134(4) of this Act by increasing or, as the case may be, reducing by the same amount the percentage specified there in relation to that contribution.”.

Employment Protection (Consolidation) Act 1978 (c. 44)

2.—(1) In section 105 of the Employment Protection (Consolidation) Act 1978 (payment to employers out of redundancy fund in respect of certain employees who are not entitled to redundancy payments), after subsection (4) there are inserted the following subsections—

“(5) Where the Secretary of State has determined a class of employees under subsection (3) above he may also make payments out of the fund to employees of that class and may determine, with the approval of the Treasury, the amounts of the payments which may be so made.

(6) The payments made to an employee by virtue of this section shall not, in respect of any period, exceed the amount appearing to the Secretary of State to be equal to the amount paid into the fund from the appropriate employment protection allocation from all primary Class 1 contributions paid by or on behalf of that employee under Part I of the Act of 1975.”.

(2) In section 113 of the Act of 1978 (employment under government of overseas territory) for subsection (2) there is substituted the following subsection—

“(2) The reference in subsection (1) to employer’s contributions is a reference—

(a) in relation to any period before 6th April 1975, to employer’s contributions within the meaning of the National Insurance Act 1965;

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- (b) in relation to any period after 5th April 1975 and before 6th April 1982, to secondary Class 1 contributions in respect of the person in question payable by persons who were, in relation to him, secondary Class 1 contributors by virtue of section 4(4)(a) of the Social Security Act 1975; and
- (c) in relation to any period after 5th April 1982, to such contributions as are mentioned in paragraph (b) together with primary Class 1 contributions in respect of the person in question payable as so mentioned."

Social Security (Contributions) Regulations 1979 (S.I. 1979/591)

3.—(1) Regulations 89, 115, 133 and 134 of the Contributions Regulations (reduction of Class 1 contributions in respect of mariners, serving members of the forces and registered dock workers) are amended as follows.

(2) In regulation 89(1)—

- (a) for the words "section 4(6)(b) of the Act (secondary contributions)" there are substituted the words "section 4(6) of the Act (Class 1 contributions)";
- (b) in sub-paragraph (a), for the words from "specified" to the end there are substituted the words "of the primary Class 1 contribution specified in section 4(6)(a) of the Act and of the reduced primary Class 1 contribution specified in regulation 104 of these regulations shall be reduced by 0.35 and that of the secondary Class 1 contribution specified in section 4(6)(b) by 0.15";
- (c) in sub-paragraph (b), for the words "said percentage rate" there are substituted the words "percentage rate of the secondary Class 1 contribution specified in section 4(6)(b) of the Act".

(3) In regulation 115(1)(a), for "0.7" and "0.15" there are substituted respectively "1.05" and "0.5".

(4) In regulation 133—

- (a) the word "secondary", in the first place where it occurs in paragraph (1) and in each place where it occurs in paragraphs (2) and (4), is omitted; and
- (b) in paragraph (1), for the words from "of the secondary" to the end there are substituted the words "of the primary Class 1 contribution specified in section 4(6)(a) of the Act shall be reduced by 0.35 and that of the secondary Class 1 contribution specified in section 4(6)(b) by 0.15."

(5) In regulation 134, in paragraphs (b) and (c)—

- (a) the word "secondary", in each case where first occurring, is omitted; and
- (b) for the words "'secondary Class 1 contributions, means'" there are substituted, in each case, the words "'employment protection allocation means'".

SCHEDULE 2

Section 4(3).

REPEALS

Chapter	Short title	Extent of repeal
1975 c. 14.	The Social Security Act 1975.	In section 134, in subsections (1)(b) and (5)(b), the word "secondary".
1981 c. 1.	The Social Security (Contributions) Act 1981.	Section 1. Section 2(1). Section 3(2)(a) and (d). Section 4(3), (4) and (7). In section 5(2), the words "Subject to section 4(4)".